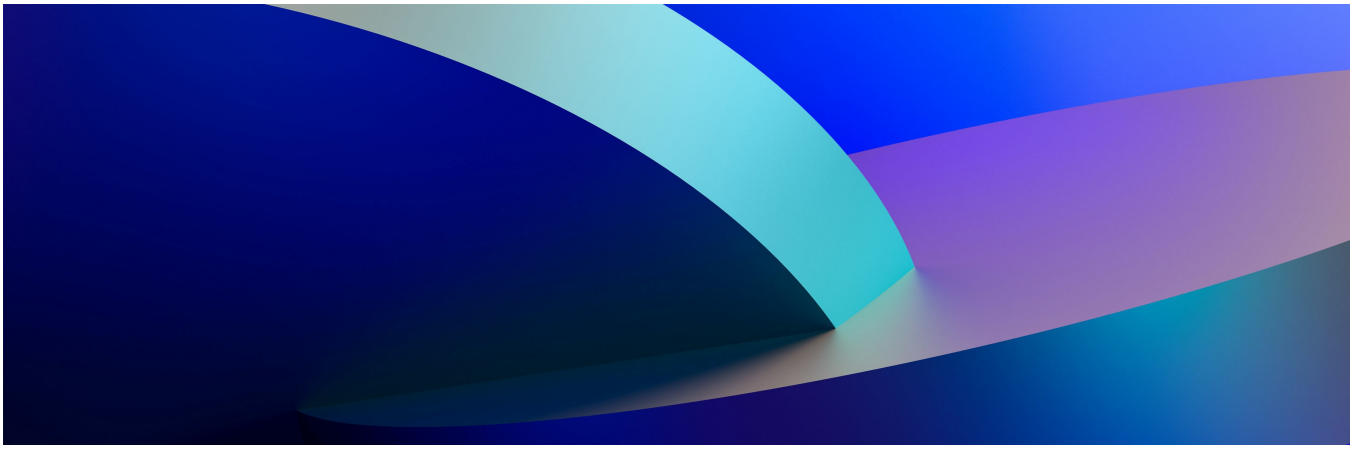

CMS Expert Guide to Crypto Regulation in South Africa

Disclaimer: *This chapter was last updated 25 June 2025 and does not reflect any subsequent developments. The information provided is intended for general informational purposes and should not be construed as legal advice.*

1. How is crypto regulated?

AML Regulation	Any other regulation

The Financial Intelligence Centre Act, 2001 (“**FICA**”) applies to 'accountable institutions' (as listed in Schedule 1 to FICA), requiring that they must be registered with the Financial Intelligence Centre. Schedule 1 to FICA was amended on 29 November 2022, and came into effect on 19 December 2022, to include as accountable institutions any person carrying on the business of: a. exchanging a crypto asset for a fiat currency or vice versa; b. exchanging one form of crypto asset for another; c. conducting a transaction that transfers a crypto asset from one crypto asset address or account to another; d. safekeeping or administration of a crypto asset or an instrument enabling control over a crypto asset; and e. participation in and provision of financial services related to an issuer’s offer or sale of a crypto asset. For purposes of FICA, “**crypto asset**” means a digital representation of perceived value that can be traded or transferred electronically within a community of users of the internet who consider it as a medium of exchange, unit of account or store of value and use it for payment or investment purposes, but does not include a digital representation of a fiat currency or a security as defined in the Financial Markets Act, 2012 (Act 19 of 2012). As accountable institutions, crypto asset service providers ("**CASPs**") are required (amongst others) to implement customer due diligence measures to prevent money laundering and the financing of terrorist and related activities.	Crypto assets have been declared a ‘financial product’ under the Financial Advisory and Intermediary Services Act, 2002. ("**FAIS**"). For purposes of FAIS, “**crypto asset**” means a digital representation of value that: a. is not issued by a central bank, but is capable of being traded, transferred or stored electronically by natural and legal persons for the purpose of payment, investment and other forms of utility; b. applies cryptographic techniques; and c. uses distributed ledger technology. Any entity providing "*advice*" or rendering "*intermediary services*" (in each case as contemplated in FIAS) with regards to crypto assets is required to be authorised as a financial services provider (“**FSP**”). For purposes of FAIS, "*advice*" includes (but is not limited to) any recommendation, guidance or proposal of a financial nature furnished in relation to any financial product. "*Intermediary services*" include (but are not limited to) any act (other than the furnishing of advice) performed by a person for or on behalf of a client or product supplier, the result of which is that a client may enter into any transaction in respect of a financial product.

2.What are the steps taken by the regulator to adopt MiCAR?

MiCAR is a European Union Regulation and as such does not apply in South Africa.

3. Are the following activities regulated or unregulated in your jurisdiction? — Direct sales of tokens by issuers— Exchange (buy/sell) — Custody (hold) — Borrowing/lending — Yield/staking services —Staking on proof of stake consensus mechanisms(please indicate if NFTs are treated differently from fungible cryptoassets for each activity)

AML Regulation	Any other regulation
Exchange: The exchange (buying and selling) of crypto assets is regulated under FICA. **Custody:** The administering of crypto assets as well as an instrument that allows control over the crypto asset is regulated under FICA. **Borrowing/Lending:** At this juncture, crypto assets are not a recognised currency/legal tender in South Africa. However, any borrowing or lending transaction carried out by any person in South Africa involving, among others, the exchange of a crypto asset for fiat currency or vice versa or the transfer of a crypto asset from one crypto asset address or account to another, is regulated in terms of FICA. **Yielding/Staking (including staking on proof of stake consensus blockchains):** The administration of control over a crypto asset, or an instrument enabling control over a crypto asset, including to lock-up the crypto asset for the purposes of staking by any person for or on behalf of a client is regulated under FICA. Furthermore, the transfer of a crypto asset from one crypto asset address or account to another, including for purposes of staking or yield farming, by any person for or on behalf of a client is regulated under FICA. **NFT:** Although no specific regulations have been adopted in South Africa with regards to non-fungible tokens ("**NFTs**") the broad definition of "*crypto assets*" for purposes of FICA, in our view, includes NFTs and, accordingly, activities related to NFTs are, in terms of	**Exchange:** Providing advice or rendering of intermediary services regarding, amongst others, the purchase of or investing in a financial product (including crypto assets) is regulated under FAIS. **Custody:** Intermediary services, including the administering or safekeeping of financial products (including crypto assets), is regulated under FAIS. **Borrowing/Lending:** At this juncture, crypto assets are not recognised currency/legal tender in South Africa. However, any advice or intermediary services related to financial products (including the borrowing or lending of crypto assets) is regulated in terms of FAIS. **Yielding/Staking (including staking on proof of stake consensus blockchains):** Any advice or intermediary services related to financial products (including in relation to the staking or yield farming of crypto assets) is regulated in terms of FAIS. **NFT:** Although no specific regulations have been adopted in South Africa with regards to non-fungible tokens, by virtue of the intentionally broad definition of "*crypto assets*" for purposes FAIS, in our view, crypto assets include NFTs and, accordingly, activities related to NFTs are regulated

FICA, regulated on the same terms as other crypto assets as described herein. **Direct sales of tokens by issuers:** As with NFTs, as noted above, the broad definition of "*crypto assets*" for purposes FICA, in our view, includes both security tokens and utility tokens. Accordingly, activities related to security tokens and utility tokens are regulated in terms of FICA on the same terms as other crypto assets as described herein.	on the same terms as other crypto assets as described herein in terms of FAIS. **Direct sales of tokens by issuers:** As with NFTs, as noted above, the intentionally broad definition of crypto assets for purposes FAIS, in our view, includes both security tokens and utility tokens. Accordingly, activities related to security tokens and utility tokens are regulated in terms of FAIS on the same terms as other crypto assets as described herein.

4. Can offshore business provide services to local customers on either active solicitation or reverse solicitation basis?

AML Regulation	Any other regulation
Yes, subject to applicable exchange control requirements of the South African Reserve Bank; provided that such offshore business would, if licensed in South Africa, be regarded as an accountable institution for the purposes of FICA and required to be registered as such in order to provide such services in South Africa.	Yes, subject to applicable exchange control requirements of the South African Reserve Bank; provided that such offshore business, in event that it actively solicits business in South Africa, is likely to be deemed to be carrying on business within South Africa, and thus required to be registered as an "external company" in accordance with the provisions of section 23 of the South African Companies Act, 2008. Any external company conducting the business of an FSP (including by providing financial services in relation to crypto assets in South Africa) is required to be licensed by the FSCA as an FSP for purposes of FAIS. In practice, the FSCA has, however, recognised that foreign financial services providers may be subject to similar licensing requirements by regulators in their home jurisdictions and, provided that such licensing requirements are acceptable to the FSCA, these foreign financial services providers may be able to obtain exemptions from compliance with certain requirements of FAIS. In respect of reverse solicitation, the picture is less clear, and the extent of the business solicited from South African clients is likely to determine whether such foreign financial services provider is deemed to be carrying on business in South Africa.

5. How long would establishing a cryptoasset business/obtaining a license in your jurisdiction take?

AML Regulation	Any other regulation
Accountable institutions (including crypto assets service providers) are required to register with the Financial Intelligence Centre within 90 (ninety) days after the business has begun operating.	The Financial Sector Conduct Authority ("**FSCA**") may raise various question and/or queries in response to a licence application and, as such, this process may take up to 6 (six) months to be finalised. Further, given the current backlog of licence applications from crypto asset service providers, the FSCA has advised that consideration of licence applications by CASPs will continue to be done in a phased approach.

6. What would be the approximate overall cost of obtaining a licence?

AML Regulation	Any other regulation
There are currently no licences issued in relation to AML, however the Financial Intelligence Centre requires that businesses in general develop and maintain polices that guard against AML and terrorist funding. Registration as an accountable institution, where required, with the Financial Intelligence Centre is free.	As at 01 October 2024, the FSCA increased licence application fees and matters incidental thereto (which have remained unchanged since 2018) by an amount of 6% (six percent). The licence application fees now reflect as follows: a. Category I FSP – ZAR2 697 b. Category II (Discretionary FSP)– ZAR16 313 c. Category IIA (Hedge Fund FSP) – ZAR16 313 d. Category III (Administrative FSP) – ZAR49 015 e. Category IV (Assistance FSP) – ZAR2 697 Should the applicant already be licensed under any other categories or apply for more than one category then a discount of 10% will be applicable (except for Category III which will be discounted at 20%).

7. What is the probability (%) of success in obtaining a licence?

AML Regulation	Any other regulation
Given that the inclusion of CASPs as "*accountable institutions*" for purposes of FICA is a recent development, it is difficult to estimate the success rate of CASP applications for registration at this juncture.	Given that the inclusion of crypto assets as financial products and, accordingly, the inclusion of CASPs as "*financial services providers*" for purposes of FAIS is a recent development, with applications for CASPs having only opened on 1 June 2023, it is difficult to estimate the probability of success for application at this juncture.

8. What other limitations are there in your jurisdiction when looking to set up a cryptoasset business? E.g., Compliance requirements and physical presence

AML Regulation	Any other regulation
As accountable institutions, CASPs are required to be registered and to report, among others, suspicious and unusual transactions (section 29) and cash transactions in excess ZAR49,999.99 (section 28) in terms of the reporting requirements set out in Part 3 (*Reporting duties and access to information*) of FICA.	FSPs must comply with the relevant qualification requirements under FAIS, including the applicable 'fit and proper' requirements for the relevant category of FSP. These requirements include meeting the necessary standards of honesty and integrity, competence, operational ability, financial soundness, and continuous professional development.

Should a company be established in South Africa to provide services as a CASP, then the provisions of the Companies Act, 2008 ("**Companies Act**") will apply and must be complied with for the establishment or incorporation of the South African company and its operation on a continuing basis. Furthermore, any foreign company carrying on business within South Africa (including the provision of services as a CASP) is required to register as an "external company" in terms of the Companies Act within 20 (twenty) business days after it first begins to conduct business within South Africa and must maintain at least one office in South Africa and register the address of such office (or its principal office) with the Companies and Intellectual Property Commission.

The South African Advertising Regulatory Board has amended the Code of Advertising Practice to require that all advertisements for crypto assets must include a warning that capital loss may occur; eg "*Investing in crypto assets may result in the loss of capital*".

On 13 December 2024, the Financial Intelligence Centre issued a directive, namely, Directive 9, for the implementation of the travel rule for accountable institutions engaging in crypto-asset transfers, in accordance with the Financial Action Task Force ("**FATF**") recommendations ("**Travel Rule**"), which directive came into force on 30 April 2025. The Travel Rule gives effect to the FATF recommendation regarding wire transfers and/or electronic fund transfers in the context of crypto-assets. It applies to the transfer and/or receipt of crypto-assets by CASPs for or on behalf of their clients. It sets out requirements for specific information that must be obtained regarding such transactions and the related records that must be kept by CASPs in this regard. The specific information required includes information about both the sender (originator) and the receiver (beneficiary) of a crypto-asset, and

which information is required to be transmitted securely by the ordering CASP to the receiving CASP. The Travel Rule applies to both domestic and cross-border crypto-asset transfers, and its aim, in particular, is to prevent crypto-assets from being used to facilitate and/or conceal criminal activity, to enhance detection of suspicious activity, to combat against criminal activity and networks and to ensure a safe and secure crypto ecosystem.

The Travel Rule applies to all crypto-asset transfers, whether domestic or cross-border and regardless of the transaction amount. Verification obligations may, however, vary depending on the transaction value/amount. For instance:

a. **Transactions under ZAR5 000 –** basic information would need to be collected, but verification would only be required should there be a suspicion of money laundering or terrorist funding.
b. **Transactions with a value of ZAR5 000 or more** – full verification would be mandatory, in accordance with the FICA due diligence requirements.
c. **Inbound transfers from high-risk jurisdictions** – CASPs who are recipients of crypto-assets in a transaction initiated in a high-risk jurisdiction are required perform a full verification regardless of whether the transaction value is less than ZAR5 000 or not.

The Travel Rule applies to CASPS and financial service providers (as defined in the FSCA).

Crypto-assets are subject to the general principles of South African tax law. Consideration will need to be given to the specific circumstances of each transaction.

Key Contacts

Andre van den Berg
Johannesburg
Director
Banking & Finance

Ayavuya Jack
Johannesburg
Associate

Keratiloe Mokwetli
Johannesburg
Candidate Attorney

Authors

Andre van den Berg
Johannesburg
Director
Banking & Finance

Ayavuya Jack
Johannesburg
Associate

Keratiloe Mokwetli
Johannesburg
Candidate Attorney

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